30 October 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

A tech-led sell-off weighed on US equities overnight. The weaker tone in stocks saw Treasuries rally and yields fall across the curve, with the move most pronounced at the short-end and belly.

Oil prices remained elevated amid ongoing geopolitical uncertainty, with Brent rising 0.6% to US$116/bbl as reports that President Trump was being briefed on military options for Iran renewed concerns over a potential escalation.

The ECB left policy unchanged as expected overnight. While noting the competing inflation and growth risks stemming from the energy shock, its communication remained hawkish enough to keep a December rate hike firmly in play.

US economic growth accelerated in Q3, driven by strong household consumption and a further surge in non-residential investment amid continued momentum in AI-related capital expenditure.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.4	0.2%
AUD/USD	0.7031	-0.3%
AUD/JPY	110.87	-0.4%
AUD/GBP	0.5254	-0.7%
AUD/NZD	1.2479	-0.5%
AUD/EUR	0.6289	-0.6%
AUD/CNH	4.6801	-0.4%
AUD/SGD	0.8999	-0.5%
AUD/HKD	5.5163	-0.3%
AUD/CAD	0.9833	-0.4%
EUR/USD	1.1179	0.2%
USD/JPY	157.69	-0.1%
USD Index	101.92	-0.3%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.77	0.04
90 day BBSY	4.96	0.05
180 day BBSY	5.29	0.03
1 year swap	4.99	-0.02
2 year swap	4.90	-0.04
3 year swap	4.86	-0.06
4 year swap	4.87	-0.04
5 year swap	4.90	-0.04
6 year swap	4.94	-0.03
7 year swap	4.99	-0.02
8 year swap	5.04	-0.02
9 year swap	5.08	-0.01
10 year swap	5.12	-0.01

Equities	Close	Change
S&P/ASX 200	8,892	0.5%
S&P 500	7,720	-0.3%
Japan Nikkei	64,659	1.1%
Hang Seng	22,959	-0.6%
Euro Stoxx 50	6,207	0.6%
UK FTSE100	10,722	0.3%
VIX Index	17.2	1.7%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.86	-0.06
10 year bond	5.17	-0.04
United States		
3-month T Bill	3.98	-0.01
2 year bond	4.61	-0.09
10 year bond	4.95	-0.07
Other (10 year yields)		
Germany	3.36	-0.02
Japan	2.85	0.02
UK	5.29	-0.03

Commodities	Current	Change
CRB Index	411.42	-0.5%
Gold	4026.47	-1.0%
Copper	14356	-0.8%
Oil (WTI futures)	102.80	0.0%
Coal (coking)	267.50	0.4%
Coal (thermal)	152.65	-1.6%
Iron Ore	90.90	1.3%
ACCU	36.13	-4.3%

Sydney Futures Exchange	Current	Change
10 yr bond	5.18	0.00
3 yr bond	4.83	-0.03
3 mth bill rate	4.77	0.00
SPI 200	8,937	0.4%

Data as at 7:30am AEDT. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

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Financial Markets

- •Global share markets were mixed overnight. A sell-off in tech stocks, led by Alfabet, weighed heavily on US markets amid reporting season, pulling the NASDAQ down 1.4% and bringing the S&P 500 (–0.3%) and Dow Jones (–0.3%) with it. The mood was more positive across the pond however, with the Euro Stoxx 50 (+0.6%) and London's FTSE 100 (+0.3%) both posting gains. Asian share markets were also varied: another solid gain in Tokyo (+1.1%) met with declines across Hong Kong (–0.6%), Shanghai (–1.0% and Seoul (–1.2%). The ASX 200 managed to lift 0.5% yesterday, and futures are pointing to a positive open this morning.
- Treasuries found a solid bid amid the sell-off in stocks, centred on the short-end and belly of the curve, with the 2Y down 9bps to 4.61%, the 10Y down 7bps to 4.95%, while the 30Y fell 5bps to 5.29%. As the dust settles post-FOMC this week, market pricing still favours a rate hike in December but conviction has waned a touch, seen at around a 78% chance now versus circa 90% earlier in the week.
- Bunds also rallied after the ECB's decision to keep policy settings unchanged, the 2Y down 6bps to 3.07% while the 10Y fell 2bps to 3.36%. That outcome for the ECB met the market's expectation, which is still teeing up for a rate hike in December, with around 21bps still priced in. ACGBs also rallied yesterday, the 3Y down 3bps to 4.86% while the 10Y fell 4bps to 5.17%. Market pricing has stabilised post-CPI earlier this week, with an RBA rate hike in November priced in at 82%.
- The USD slipped a touch further overnight, the DXY down 0.3% to be back around where it was at the start of the week, at circa 101.9. Despite solid activity data, the sell-off in stocks brought the dollar with it, seeing most across the G10 move higher. That was clearest for the Sterling and Aussie, which both strengthened 0.4% against the greenback overnight. The Euro finished 0.2% higher following some fairly choppy price action overnight as traders parsed the statement and a relatively hawkish press conference. The Yen has remained largely rangebound, with the BoJ's policy decision later today closely watched.
- Crude oil prices remained choppy overnight, initially paring back some of the risk premium that was added over the past week, before rising once again with reports circulating that President Trump is being briefed on military options for Iran, including a resumption of major combat operations. Brent finished 0.6% higher at US$116.0/bbl. Base metals remain fairly choppy: LME copper unwound recent gains, falling 0.8% to US$14,356/mt, while LME aluminium edged 0.2% higher to US$3,078/mt. Gold prices fell 1.0% to around US$4,025/oz despite the lower real yield backdrop overnight.

Today's key data and events

Time	Event	Exp	Prev
8:00	NZ ANZ Consumer Confidence Oct	-	97.6pts
10:30	JP Tokyo Oct	2.7%	2.7%
10:30	JP Jobless Rate Sep	2.5%	2.5%
10:50	JP Industrial Production Sep Prel.	1.2%	-2.4%
11:30	AU PPI Q3	-	1.3%
11:30	AU Private Sector Credit Sep	0.5%	0.6%
18:00	GB Nationwide House Prices Oct	-0.2%	-0.2%
21:00	EZ GDP Q3 A	0.2%	0.6%
21:00	EZ Unemployment Rate Sep	6.4%	6.4%
23:30	US Employment Cost Index Q3	0.8%	0.9%
-	JP BoJ Policy Decision	1.25%	1.25%
0:45	US Chicago PMI Oct	56pts	58.8pts

Times are AEDT. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

The **ECB** maintained its key rates at the October meeting. Energy prices continue to pose upside risks for inflation, but also downside risks for growth. "While the full effects of the energy shock are still unfolding, underlying inflation has remained broadly stable so far and wages do not show a material response". "Financing conditions have [also] tightened", "which is likely to weigh on inflation and growth".

In the press conference, President Lagarde noted that, between the October and December meetings, a significant amount of new economic information will be released, allowing forecasts and risks assessments to be tested. We continue to expect a rate hike at the December meeting, but believe this will be prove the last hike of the cycle. Note though, the spectrum of risks Europe faces is broad and skewed towards inflation in the near term, hence guidance will remain hawkish. President Lagarde also announced today that she will step down as ECB President in February ahead of the scheduled conclusion of her term next October.

In the US, **Q3 GDP** (all figures annualised) came in a touch above consensus, rising 3.4%, versus 2.2% in Q2. Household consumption growth was again strong at 3.8% after a weak start in Q1. Growth in non-residential investment strengthened to 12.7%, highlighting the momentum spurred by AI-related capital expenditure. This is a striking contrast to residential construction which fell 3.3% in Q3 under the weight of term interest rates and cost-of-living. The strength in business investment was offset by imports, with the vast majority of capital inputs to current capital expenditure produced offshore.

Also in the US, **personal spending** grew 0.5% in September, down from 0.9% in August. Real spending decelerated from a 0.5% gain in August to a flat result in September. Dissaving was required to fund nominal consumption in the month as **personal income** only rose 0.2%. The headline and core price measures were both as expected in the month, up 0.5% and 0.3% respectively.

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